Family economics

Microcredit projects in developing countries frequently focus on offering small loans that allow women to start up businesses, based on the idea that mothers are more likely to invest wisely.

Economic analysis traditionally starts with the individual and the firm, but individuals are also members of families. Family economics uses economic principles to analyse people's decisions about marriage, having children and the distribution of resources within families. Marriage can allow people to pool resources, divide up their labour into different household tasks and share market risks. Different family members may have different preferences about how resources should be used. Studies have found settings in which mothers give greater weight to spending on children than fathers do. This drives policy initiatives in developing countries aimed at giving mothers greater control of family resources: it is hoped that these enhance the nutrition and education of children. Family economics also studies fertility behaviour, distinguishing between child 'quantity' and 'quality'. If there is a high future return to education, parents may have fewer children but spend more on their education, choosing quality over quantity. Broader changes in the economy can alter this trade-off.